Client Selection, Audit Warnings, and Big 4 Client Risk

	MAO	GC	Observations	Firms
Panel A. Warning and next-year client transition (percentage points)				
Exit Big 4: current Big 4 clients	35.16***	20.39*	3,504	489
	(7.33)	(11.33)		
Enter Big 4: current non-Big-4 clients	-0.29**	0.03	59,865	5,119
	(0.12)	(0.17)		
Panel B. Big 4 minus non-Big-4 gap among warned clients (percentage points)				
Current restatement or violation	-6.25*	-11.88***	70,197	5,623
	(3.37)	(4.46)		
Violation announcement, next year	-5.30**	-8.87***	64,299	5,352
	(2.28)	(2.41)		
Restatement, next year	-1.26	1.85	64,299	5,352
	(2.27)	(4.52)		

Panel C. Descriptive classification rates: current failure (percent)

	MAO		GC	
	Big 4	Non-Big-4	Big 4	Non-Big-4
No failure among warned: $P(Y = 0 \mid M = 1)$	87.85	78.33	93.18	78.03
Denominator	107	4,545	44	1,866
Type I: $P(M = 1 \mid Y = 0)$	2.01	5.74	0.88	2.35
Denominator	4,671	62,047	4,671	62,047
Type II: $P(M = 0 \mid Y = 1)$	88.29	79.28	97.30	91.38
Denominator	111	4,755	111	4,755

Notes: MAO denotes a modified audit opinion; GC denotes a going-concern opinion. Panels A–B report coefficients and company-clustered standard errors in percentage points. Models include company and industry-by-year fixed effects, original controls, and missing-value indicators. Panel A estimates the warning association separately within current Big 4 and non-Big-4 clients; the two rows have different dependent variables and are not a formal cross-group slope test. Exit means leaving all Big 4 firms, not switching between Big 4 firms. It does not identify which party initiated the change.

Panel B reports the Big 4 gap conditional on receiving the stated opinion, calculated as the Big 4 main effect plus its opinion interaction. Observations and firms refer to the full regression sample, not only warned clients. Current failure combines restatement and violation attributed to the financial-statement year. Next-year violation refers to announcement timing, not necessarily misconduct beginning after the warning.

Panel C is descriptive, with its probability-specific denominator shown below each rate; M denotes the opinion and Y denotes current failure. A larger no-failure share among warned clients is not a larger Type I error rate. Non-Big-4 pools Local 8 and other firms. These results support client selection and portfolio adjustment as mechanisms, not a causal improvement in audit quality or a uniformly stricter warning threshold.

Source: existing client-selection/opinion mechanism estimates (Panels A, B and D); no re-estimation. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.